

Case 7: Would You Invest Rs5 Crore?

Domain: Sales and Marketing | Decision Archetype: Private Equity / Venture Capital | Framework: Porter's Five Forces + SWOT

Investor's handwritten notes, taken live during a pitch meeting Company: LearnNova (ed-tech, test-prep for competitive exams) | Ask: Rs. 5 crore for 12% equity

Founder's opening lines: "We've grown from 8,000 to 60,000 paying students in 14 months. Every rupee of marketing spend is returning 2.3x within 90 days."

Notes to self as founder talks:

Market feels crowded — at least 6 well-funded ed-tech players already exist in test-prep. Ask founder how they're different.

Founder claims their differentiator is "doubt-solving within 2 minutes via live tutors" — competitors mostly use recorded content. If true, that's a real edge. Need to verify retention data, not just growth.

Switching cost for students seems LOW — most students use 2-3 apps simultaneously anyway. Worrying.

Big exam bodies could change syllabus/format anytime — outside anyone's control. Regulatory-type risk worth asking about.

New entrants keep appearing every 6 months in this space — barriers to entry seem low (any teacher with a phone can start a YouTube channel and compete informally).

BUT: LearnNova has tie-ups with 40 offline coaching centres for hybrid delivery — competitors haven't done this. Could be a real moat if it's exclusive.

Founder shares this slide:

Exhibit 1 — Simple Strength/Weakness Snapshot (from pitch deck)

Strengths	Weaknesses
Fast growth, strong recent retention (81% at 6 months)	Not yet profitable
Live doubt-solving — unique in category	High dependence on paid ads for new users
40 offline coaching tie-ups	Small team — 22 people

Opportunities	Threats
Hybrid (online+offline) demand rising	6+ funded competitors in same space
Tier-2/3 city demand growing fast	Low switching cost for students
Possible exam-body partnerships	Regulatory changes to exam formats possible

Discussion Questions

1. Would you invest Rs. 5 crore in LearnNova at this valuation?
2. Which force worries you most — rivalry, new entrants, or low switching costs?
3. What one question would you ask the founder before deciding?